[Subject code-2610000102033003]

VEER NARMAD SOUTH GUJARAT UNIVERSITY, SURAT

BACHELOR OF BUSINESS ADMINISTRATION (BBA)

(FOREIGN TRADE)

Semester - II

Subject	Financial Accounting	Semester	II
CC203	4	Type	Minor

Learning Outcomes:

LO1	Understand financial accounting and develop skill for bookkeeping activity
LO2	Evaluate techniques in preparing the final accounts of firms and companies for the users of accounting information
LO3	Lear to prepare Cost sheet, Stock Register and budget for financial Planning
LO4	Evaluate cost information for profit and Break-even Planning

Course Content

Module	Content	Weightage
1	**Introduction of Financial, Cost and Management Accounting:** • Definition of Financial, Cost and Management Accounting. • Advantages and Limitation of Financial, Cost and Management Accounting • Difference between Management accounting with Financial and cost accounting	10%
2	**Concepts of Financial and Cost Accounting:** • Accounting cycle, Double Entry Bookkeeping System: Preparation of Journal and Subsidiary books (Purchase Book, Sales book, Purchase Return Book & Sales Return Book) • Three Columnar Cashbook (Numeric), Ledger and Trial Balance (Brief Concept) • Financial Statement of Company as per company act 2013 (Only Format) • Stock Register (Numeric based on First In First Out Method, Last In First Out Method, Weighted Average Method)	35%
3	**Analysis of Financial Statements:** • Techniques of Financial Statement Analysis (Calculation of Ratios from the given financial statement as per company act 2013) • Liquidity and Solvency Ratios – Current Ratio, Liquid Ratio, Proprietary Ratio, Debt – Equity Ratio.	20%

	• Profitability Ratios – Gross Profit Ratio, Net Profit Ratio, Operating Profit Ratio, Return of Capital Employed Ratio, Return on Equity Shareholder's Fund • Efficiency Ratios – Stock Turnover Ratio, Debtors Ratio, Creditors Ratio, Operating Ratio	
4	**Budget and Budgetary Control:** • Meaning of Budget and Budgetary Control, • Preparation of Cash Budget (Numeric), • Zero Base Budgeting	**20%**
5	**Cost Volume Profit Analysis:** • Meaning and Significance of Marginal Costing • Break Even Analysis • Numeric based in Contribution, Profit Volume Ratio, Break Even Point, Margin of Safety.	**15%**

Reference Books:

Sr. No.	Book Title	Author(s)	Publisher
1	Introduction of Accounting	T. S. Grewal	Sultan Chand & Co
2	Principles of Accounting	Rupal Gupta	Sultan Chand & Co
3	Modern Accounting	Hanif and Mukharjee	Tata McGrew Hill
4	Cost and Management Accounting	M. N. Arora	Himalaya Publication House